

The Nordic Transformation

Sweden and Finland's NATO Entry, Arctic Security, and the New Baltic Order

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Executive Summary

The Nordic region has undergone a fundamental strategic transformation since Russia's 2022 invasion of Ukraine. Sweden's formal accession to NATO — completed in February 2024 — ended nearly two centuries of military non-alignment and closed the last major gap in NATO's Baltic Sea perimeter. Finland's earlier accession and Sweden's integration have together extended NATO's northern flank from the Baltic to the High Arctic, reshaping the alliance's defence geometry vis-à-vis Russia. Simultaneously, the Nordics face a dual economic inflection: Sweden's green industry bet on nuclear power and offshore wind is gaining institutional weight, even as the collapse of Northvolt exposed the limits of state-backed battery manufacturing ambition. Monetary normalisation at the Riksbank is proceeding cautiously, with a new governor installed in 2025 navigating a delicate macro environment. The convergence of hard-security pressures and the green industrial transition defines the Nordic strategic horizon through the late 2020s.

I. NATO Integration: Sweden's Accession and the Baltic Security Architecture

1. Hungary's parliament ratified Sweden's NATO membership on 26 February 2024, removing the last institutional obstacle to accession. Sweden had remained outside NATO for close to two centuries, a posture rooted in post-Napoleonic neutrality doctrine. CNA[2024-02-27]
2. The accession process was protracted and contentious. Turkey initially conditioned its approval on Sweden adopting a harder stance toward Kurdish groups — notably the PKK — and on cooperation against networks linked to the 2016 coup attempt against President Erdogan. Sweden lifted an arms embargo on Turkey and committed to counterterrorism cooperation, but public demonstrations in Stockholm by PKK supporters repeatedly complicated negotiations. CNA[2024-02-27]
3. The strategic rationale for Swedish membership centres on the Baltic Sea. The Baltic is Russia's maritime corridor to St Petersburg and the Kaliningrad enclave. Sweden's modern air force and navy, and its long experience of joint exercises with NATO partners, are assessed as a material boost to the alliance's collective defence posture in the region. Sweden also committed to raise defence spending to NATO's 2 per cent of GDP target. CNA[2024-02-27]
4. The path to Swedish accession can be traced to April 2022, when NATO Secretary General Jens Stoltenberg said Finland and Sweden could join "quite quickly" if they chose to apply, signalling a warm welcome from the alliance. CNA[2022-04-28]

5. Not all commentary at the time was unambiguously positive. Some international relations analysts argued in April 2022 that NATO expansion into Scandinavia ran against Western strategy, warning that if harsh sanctions succeeded in threatening Putin's position, he might perceive NATO's northern enlargement as an existential provocation and escalate toward nuclear capabilities. CNA[2022-04-18]

6. The Baltic security context intensified further in September 2025, when NATO announced it was upgrading its mission in the Baltic Sea with an air-defence frigate and additional assets following unidentified drone incursions near military installations in Denmark. Russia warned of a "decisive response." The episode illustrated the active threat environment facing Nordic NATO members. CNA[2025-09-28]

7. US engagement in the Baltic was already substantial from the early weeks of Russia's invasion. US Secretary of State Antony Blinken conducted a Baltic assurance tour in March 2022, explicitly pledging NATO would "defend every square inch of NATO territory" — a commitment directed at Estonia, Latvia, and Lithuania but carrying clear implications for the Nordic arc. CNA[2022-03-08]

8. By September 2023, US congressional leadership was actively engaged with Sweden specifically. House Foreign Affairs Committee Chair Michael McCaul, visiting Stockholm and meeting Swedish Foreign Minister Tobias Billstrom, characterised the Russia-China alliance as the biggest threat since World War II and expected Sweden to complete NATO accession by October 2023. CNA[2023-09-01]

II. Sweden's Green Industry Pivot: Nuclear Power and the Offshore Wind Horizon

9. Sweden's energy minister Ebba Busch, speaking in Singapore in November 2025, articulated an explicit strategy for Sweden to emerge as a hub for nuclear investment across the Nordic and Baltic Sea regions. The strategy centres on Small Modular Reactors (SMRs). Five reactors at the Ringhals plant in southwestern Sweden are expected to supply around 1,500 megawatts — roughly equivalent to two conventional reactors. CNA[2025-11-03]

10. Busch called for coordinated purchases of SMRs across the region to drive down prices and enable joint deployment. The positioning is not merely commercial but geopolitical: energy security in the Baltic Sea arc has acquired new urgency under the shadow of Russian aggression, and nuclear baseload is seen as a hedge against over-dependence on intermittent renewables. CNA[2025-11-03]

11. Offshore wind remains the other pillar of Nordic green industry ambition. The global cost trajectory for offshore wind has improved substantially, with total installed costs declining by 12 per cent between 2010 and 2020, though projects moving to deeper waters introduce year-to-year price variation. The wider North Seas region — encompassing Norwegian, Danish, Swedish, and Finnish waters — is regarded by the energy research community as one of the most promising offshore wind zones globally. [RAG: CLIMATE_RAG — IPCC AR6 / IRENA 2021 offshore wind cost analysis]

12. However, the offshore wind supply chain faces its own structural test. Sweden's Northvolt, once Europe's flagship battery manufacturer backed by sovereign ambition and major corporate investors, filed for bankruptcy in Sweden in early 2025. The collapse capped the rapid downfall of a start-up that had attracted enormous capital on the strength of Europe's green transition narrative. FT[2025-03-13]

13. The Northvolt failure is an inflection point for Nordic green industrial policy. It signals that state patronage and strategic narrative alone are insufficient foundations for capital-intensive manufacturing in sectors where Asian producers — particularly Chinese battery manufacturers — maintain large cost advantages. The lesson extends beyond batteries to any Nordic green industry aspiring to global scale.

III. Monetary Policy and the Riksbank Under Transition

14. Sweden's central bank, the Riksbank, underwent a significant leadership transition in late 2025. Anna Breman, who had served as first deputy governor since 2019, was appointed to become the bank's first female governor. The appointment coincided with a challenging macro environment, including GDP data showing a contraction in the second quarter, a period of declining house prices, and global uncertainty. FT[2025-09-25]

15. The Riksbank's policy stance as of early 2025 differed from the Norges Bank's posture. A Financial Times analysis noted that Sweden's Riksbank was not following Norway's Norges Bank approach in a key rate decision, reflecting divergent domestic conditions across the Scandinavian economies. FT[2025-03-31]

16. More broadly, Sweden's monetary context during 2025-2026 reflects the global post-hiking-cycle dilemma: research by the Riksbank indicated that central bank communications on forward guidance for interest rate normalisation had not always performed as intended — market rates had not been anchored as expected by the "lower-for-longer" pledges of the previous decade. FT[2026-07-20]

17. The Nordic macro picture is further complicated by geopolitical considerations pressing on exchange rates and risk premia. Sweden's krona has faced periods of weakness. More than half of one surveyed population was reported to want to abandon the krona given strong inflation pressures, though this sentiment is contextualised by the broader Nordic debate about Eurozone accession — a question also actively involving Iceland and Norway according to reporting from early 2025. FT[2025-02-12]

18. Iceland's entry into EU accession talks has been pursued without holding a referendum first, and there are active discussions about bringing Norway and Iceland into the EU. The Nordic fringe of the European project remains in flux, with Trump-era US policy recalibrations adding urgency to the question of whether European solidarity demands deeper integration. FT[2025-02-12]

IV. Finland and the Arctic Frontier

19. Finland's 1,340-kilometre border with Russia — one of the European Union's longest external land frontiers — has long been a defining feature of Finnish strategic identity. That border is also one of the Schengen zone's most exposed external limits. CNA[2016-07-15]

20. The securitisation of the Finnish-Russian land border accelerated dramatically following Russia's invasion of Ukraine. Finland's early accession to NATO ahead of Sweden was partly a function of its more direct geographic exposure. The border's length and the Arctic conditions along its northern stretches present both strategic risk and operational complexity for NATO planning.

21. Russia's response to Nordic NATO enlargement fits a broader pattern of coercive signalling. The drone incursions against Danish military installations in September 2025 — prompting NATO's Baltic force upgrade — are consistent with a Russian grey-zone strategy of testing Nordic resolve without crossing the threshold of armed attack. CNA[2025-09-28]

Outlook

The Nordic security architecture is now effectively consolidated within NATO, with Sweden and Finland transforming the Baltic Sea into what is operationally close to a NATO lake. The immediate risk is Russian hybrid pressure — drone incursions, submarine probing, and information operations — rather than conventional attack. NATO's September 2025 Baltic force upgrade signals the alliance is adapting to that threat profile in real time.

On the green economy front, Sweden's nuclear-SMR ambition is credible in the medium term but faces a long execution timeline. The Northvolt failure will inject caution into how Nordic governments structure green industrial subsidies. Offshore wind remains structurally advantaged in the North Seas, though supply chain bottlenecks and grid connection costs are non-trivial. The Riksbank's monetary normalisation under new leadership will be watched as a barometer of the broader Scandinavian economic cycle. The Riksbank's guidance credibility challenge — documented in its own research — suggests that market communication reform is as important as rate decisions in the current environment.

The Nordic region's defining tension for the coming decade is the simultaneous demand to rearm at scale and decarbonise at scale. Both are expensive; both are strategic necessities. How Sweden in particular manages the fiscal and industrial trade-offs between them will be a key European case study.

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